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Brand Analyses of U.S. Global and Local Brands in India: The Case of Levi's

Vertica Bhardwaj
University of Tennessee, Knoxville

Archana Kumar
Montclair State University, kumara@mail.montclair.edu

Youn Kyung Kim
University of Tennessee, Knoxville

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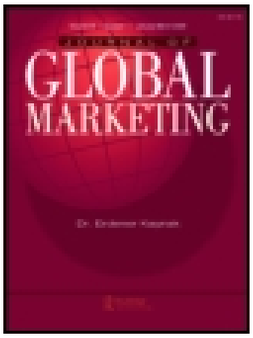

Journal of Global Marketing

ISSN: 0891-1762 (Print) 1528-6975 (Online) Journal homepage: https://www.tandfonline.com/loi/wglo20

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To cite this article: Vertica Bhardwaj , Archana Kumar & Youn-Kyung Kim (2010) Brand Analyses of U.S. Global and Local Brands in India: The Case of Levi's, Journal of Global Marketing, 23:1, 80-94, DOI: 10.1080/08911760903442226

To link to this article: https://doi.org/10.1080/08911760903442226

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Journal of Global Marketing, 23:80–94, 2010
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ISSN: 0891-1762 print / 1528-6975 online
DOI: 10.1080/08911760903442226

Brand Analyses of U.S. Global and Local Brands in India: The Case of Levi's

Vertica Bhardwaj
Archana Kumar
Youn-Kyung Kim

ABSTRACT. This study investigates differences between U.S. global and local brands in the Indian market. Attitudes toward American products and the brand equity of U.S. global and local casual apparel brand in the Indian market are examined. It is postulated that global and local brand influence brand equity, which is composed of brand image, brand awareness, emotional value, perceived quality, brand loyalty, and purchase intention. A total of 411 college students in India participated in the survey. Using repeated measures ANOVA, this study finds that Indian consumers perceive global and local brands differently based on brand equity.

KEYWORDS. Brand equity, general-brand impression, brand-specific association, brand commitment, Indian consumers, global and local brands

Recent years have seen fast globalization of business across the globe with the boom of Asian economies such as India, China, and Malaysia, among others (Wilson & Purushotaman, 2003). With growing opportunities to expand their operations across boundaries, retailers are forced to learn subtle nuances and differences in new markets (Golub & Hopkins, 2003). Retail markets in developed countries such as the United States, United Kingdom, and Japan have reached a maturity stage, characterized by a sluggish population growth (Berner, Khermouch, & Pascual, 2001). As a reactive measure, a significant number of retail companies are moving toward global markets to secure their position. Parallel to this, factors such as advancement in technology, growing GDPs, rising incomes, deregulation of multinational trade agreements, and converging preferences of consumers in developing nations have encouraged international retailers to explore these markets.

Global marketing has had a huge impact on both local and global brands present in a market. Given the fact that strong local brands have an advantage of developing close relationships with domestic consumers, it can be challenging for foreign retailers to convince consumers to use their products and brands. At the same time, local brands are constantly confronted and threatened by competition from global brands in their home

Vertica Bhardwaj and Archana Kumar are doctoral candidates in Retail and Consumer Sciences, The University of Tennessee, Knoxville, Tennessee, USA. Youn-Kyung Kim, PhD, is a professor in Retail and Consumer Sciences, The University of Tennessee, Knoxville, Tennessee, USA.

Address correspondence to Youn-Kyung Kim, PhD, Retail and Consumer Sciences, The University of Tennessee, 244A Jessie Harris Building, 1215 W. Cumberland Ave., Knoxville, TN 37996-1911, USA. E-mail: ykim13@utk.edu

(Ger, 1999). Therefore, both foreign and local retailers need a strategic and proactive approach to be competitive globally.

The economic liberalization in 1991 brought various products and brands into India and transformed the lifestyle of consumers in the country (Sabnavis, 2003). In addition, the growth of foreign direct investment in India rose from $97 million in 1990–1991 to $96.425 million in 2008–2009 (*Economic Times,* 2006). This indicates the growing demand for global brands and increasing competitiveness between global and local brands. At the same time, the retail scenario in India reflects several opportunities for local and global retailers as consumers' purchasing power and willingness to spend are on rise (Bhattacharya, 2007).

Global retailers need to be sensitive to local needs and market conditions, as evidenced by some failed international retail initiatives that did not consider different preferences among consumers worldwide (Keillor, Amico, & Horton, 2001). By adapting to the local markets while keeping their essence and values intact, global brands can strengthen their roots and be successful (*Economic Times,* 2006). In support of this stance, Craig and Douglas (1996) suggested several strategies such as broadening product lines, developing new products, and adapting marketing techniques as necessary for competing effectively in foreign local markets.

For retailers to succeed in a local market, it is essential to understand consumer preference for foreign and local brands. Consumer preferences for products made in different countries are influenced by level of economic development of nations (Schoolar & Sunno, 1971), ethnocentric bias (Han & Terpstra, 1988), different demographic characteristics of consumers (Hester & Yuen, 1987), product type (Lumpkin & Kim, 1985; Nagashima, 1970), and product familiarity (Johansson, Douglas, & Nonaka, 1985). The literature further reveals that preference for foreign brands over local brands prevails among consumers in developing countries such as Korea (Sharma, Shimp, & Shin, 1995), China (Batra et al., 2000; Klein, Ettenson, & Morris, 1998), and Poland (Ettenson, 1993). Specifically, Batra et al. (2000) found that consumers in developing countries such as China, Turkey, Vietnam, and Nigeria seek brands from the United States as a means to gain prestige in the society. On the contrary, several studies conducted in developed nations such as the United States (Nes & Bilkey, 1993), Canada (Hung, 1989), France (Baumgartner & Jolibert, 1977), the United Kingdom (Hooley, Shipley, & Krieger, 1988), and Japan (Nagashima, 1977) present a significant preference for local products to foreign products. Despite the plethora of studies on foreign consumers' brand preferences, there has been a dearth of knowledge on the perceptions of Indian consumers toward foreign products. This study will examine perceptions and attitudes of Indian consumers toward a U.S. global brand compared to a local brand.

INDIA: A PROMISING DEVELOPING COUNTRY

After independence in 1947, Indian economy followed socialistic economic policies and emphasized self-reliance in the manufacturing sector, particularly consumer goods (Bank & Natarajan, 1995). This resulted in tariffs and other restrictions on the import of consumer products, leading to subsequent growth of many domestic manufacturers of consumer goods and rare foreign products in the Indian market. Branded products from foreign countries, during that time, were scarce and expensive and hence were purchased mostly by wealthy consumers. Beginning in the early 1990s, the Indian government took steps to liberalize the economy and ease restrictions on imported goods (Ramachandran, 2000). As a result, the Indian market today is flooded with imported products from many countries, especially the United States and Japan, while numerous products are still produced in the local market (Bandyopadhyay, 2001). This indicates that consumers are faced with a choice between the existing local brands and newer foreign brands (Batra et al., 2000).

Due to India's phenomenal economic growth, India has emerged as the most attractive market for retail investment and development (Global Luxury Brand Study, 2008; Kearney, 2006). Although the Indian retail market has a large

number of unorganized retail players, the changes in foreign direct investment policies have encouraged the entry of global retailers such as Levi's, Reebok, Mango, Marks & Spencer, Gucci, Louis Vuitton, and Calvin Klein. At the same time, Indian consumers are becoming more brand-conscious and are spending more on branded products (Shashidhar, 2004). In fact, India is ranked among the top three most brand-conscious countries in the world (Nielsen Global Luxury Brands study, 2008). The increase in the spending power of Indian consumers is evidenced by the 25% to 28% growth of Indian retail industry, which is expected to be U.S.$860 billion by 2018 (Technopak, 2008). Among retail segments, branded apparel segment constitutes the second largest retail sales in India (Vaid, 2007).

The catalyst for this change is the increase in disposable income, the westernization of culture, and changing lifestyle among Indian consumers. There has been rapid growth in the number of middle-class families with a higher household income and purchasing power. Further growth is exhibited by the demand for foreign products due to prestige and self-esteem associated with their use (Good & Huddleston, 1995). In addition, consumers in India are becoming aware of products/services available from various countries due to their modern lifestyle that can be explained by Internet access, satellite communication, and travel, as well as increased education (Global Emerging Market Survey, 2008). Younger Indian consumers are more acclimated to westernization and hence embrace its benefits at a faster rate (Shashidhar, 2007). Apparently, an immense potential exists for both global and local retailers to target young consumers in the Indian market.

BRAND ANALYSIS

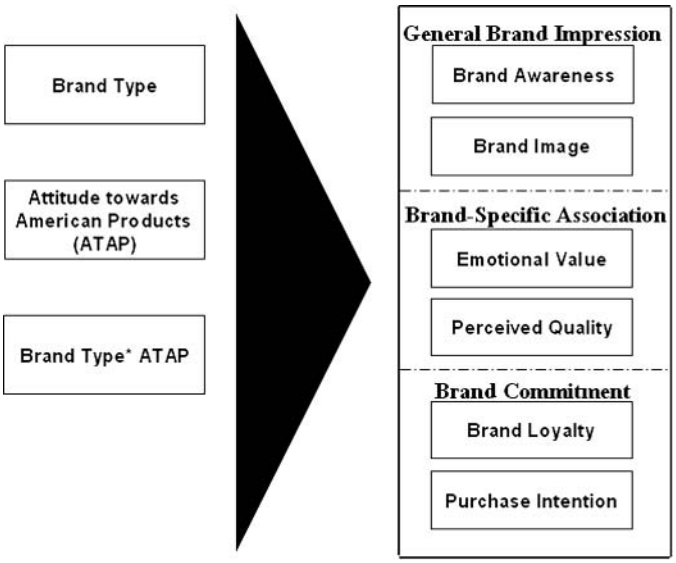
Brand has been viewed as a powerful entity and its success depends on its positioning in the market among consumers (Punj & Moon, 2002). Due to competition among retailers and diversification of consumers in global markets, the assessment of brand evaluation becomes challenging. To resolve this issue, international marketers and retailers always look for measures to strengthen their brands across national boundaries by evaluating the effectiveness of implementing marketing mix and positioning the brands. Consumers use brand names and product attributes as cues for information that help in the decision making process (Feldman & Lynch, 1988). A favorable brand name that possesses good quality results in a positive perception or belief in consumers' mind and finally results in purchase intentions. More specifically, consumers often recognize a status brand only with a brand name and image without any knowledge of other features of the brand (O'Cass & Frost, 2002). Evidence also shows that brands provide consumers with nonutilitarian or hedonic experiences that generate emotional value (e.g., enjoyment or pleasure) (Holbrook, 1986) in addition to utilitarian experiences (e.g., perceived quality) (Zeithaml, 1988). Apparently, the success of a brand can be determined by assessing how a brand is evaluated or perceived and to what extent consumers are committed toward it.

To assess consumer evaluation of a brand, we adopt two components of Dillion, Madden, Kirmani, and Mukherjee (2001): general brand impressions and brand-specific associations. In addition, Lee, Knight, and Kim (2008) incorporated brand commitment to the brand analysis due to its behavioral component (e.g., purchase intention and brand loyalty). Thus, our brand analysis model has three components: brand-specific association, general brand impression, and brand commitment, as depicted in Figure 1.

General Brand Impression

General brand impression plays an important role in consumers' decision-making process. Specifically, Keller (1993) provided a conceptual framework for creating general brand impressions with two dimensions: brand awareness and brand image. *Brand awareness* is defined as the brand knowledge involving recognition of the brand name at the rudimentary level (Hoyer & Brown, 1990). Nagashima (1970, 1977) argued that consumers form opinions about a brand mainly through the familiarity or awareness of that brand. In this context, Rossiter and Percy (1987) related brand awareness to

FIGURE 1. Conceptual Framework



(a) the consumers' ability to trace a brand in different conditions and (b) the likelihood that a brand will easily come to consumers' mind. Similarly, increase in brand awareness raises the likelihood that the brand will be considered more frequently while purchase is made (Baker et al., 1986). *Brand image* is the perception of the product by the consumer. Brand image links features or characteristics of a particular brand to consumers' memory and builds a general brand impression. Consumers' ability to recognize a brand increases with frequent advertising (Keller, 1993) and celebrity endorsements (Rossiter & Percy, 1987). It is evident that brand awareness and brand image influence the formation and strength of general brand impressions.

Brand-Specific Association

Brand-specific association has been linked to the feature, attribute, or characteristic that makes consumers more associated with a brand and makes it distinct from other brands (Dillion et al., 2001). As proposed by Lee et al. (2008), perceived quality and emotional value are the two major dimensions of brand-specific association as they form critical factors in product perception.

Emotional value is defined as the value that relates individuals to their feelings or affective states (Sheth, Newman, & Gross, 1991) or the benefit derived from the sense of pleasure through either the purchase or consumption of a brand (Sweeney & Soutar, 2001). As Holbrook (1986) contended, consumers experience certain emotions (i.e., enjoyment or pleasure) offered by different products and brands. Studies on developing countries have illustrated that consumption of products from western countries acts as a symbol of status and prestige, and hence enhances consumers' emotional feelings (Bhat & Reddy, 1998; Kinra, 2006). *Perceived quality* has been defined as a consumer's appraisal or subjective evaluation of the overall excellence or superiority of the products (Zeithaml, 1988). In sum, consumers in developing countries may purchase a particular brand when they perceive that the brand offers high quality and emotional satisfaction to them; this postulation is stronger with brands from developed countries, especially from the West (Kinra, 2006).

Brand Commitment

Brand commitment has been defined as an enduring desire to maintain a valued relationship with a brand (Moorman et al., 1992) and can be classified into brand loyalty and purchase intentions. Brand loyalty has been identified as an important strategy for retailers to obtain a

competitive advantage in the market (Sirdeshmukh, Singh, & Sabol, 2002). Consumers become loyal to a particular brand in such a way that they intend to purchase the brand repeatedly and do not change to other brands so often. Moreover, brand loyalty has been perceived as long-term attachment to a brand (Dick & Basu, 1994). Although consumers in developing countries are not much familiar with foreign brands, they tend to become more loyal toward foreign brands compared to local brands because of perception of better quality (Lin & Sternquist, 1994). Similarly, Gaedeke (1973) emphasized that developing countries such as India, China, and Taiwan prefer brands from western or developed countries and are more loyal toward them. Another component of brand commitment, *purchase intention,* indicates the tendency of consumers to purchase specific brands in a routine manner compared to other brands (Yoo et al., 2000).

HYPOTHESIS DEVELOPMENT

This study aims to analyze U.S. global and local apparel brands in the Indian market in terms of general brand impression, brand specific association, and brand commitment. Hypotheses are developed to determine whether (a) Indian consumers' responses to brand analysis components differ between a U.S. brand and a local brand and (b) the impact of Indian consumers' attitudes toward American products (spelled ATAP hereafter) on their responses to brand analysis components differs between the U.S. brand and the local brand.

General Brand Impressions

Hypothesis 1 is concerned with the effects of brand type and ATAP on general brand impressions (i.e., brand awareness and brand image). According to Aaker and Day (1974), brand awareness and brand image directly influence the decision-making process in selecting foreign brands. Of note, Chinese consumers tend to have favorable brand image toward foreign products compared to local ones, even with little brand awareness about those foreign products. In a similar vein, Anholt (2005) contended that consumers in Mexico have a positive brand image and are more aware of U.S. brands compared to their local brands. Thus,

H1A: Indian consumers will give higher ratings on brand awareness and brand image to a U.S. brand than to a local brand.

According to Kaynak and Cavusgil (1983), consumers' perception of brand equity including brand image and brand awareness is likely to be favorable if the brand is known to originate from a developed country. Also, Alden et al. (2006) highlighted the influence of exposure to media and culture on brand awareness and attitudes toward global brands. Indian consumers exposed to American culture through media are likely to develop positive attitudes toward American products. Apparently, these consumers will be more aware and have a favorable brand image of U.S. brands. For example, the A.T. Kearney consulting group (2006) reported that Indian consumers influenced by the western culture through factors such as media, travel, and relatives are more familiar with foreign brands and hence prefer them to the local brands. On the contrary, Indian consumers' inclination toward American culture and products may reduce their brand awareness and brand image toward local brands. Thus,

H1B: Indian consumers with favorable ATAP, compared to those with unfavorable ATAP, will give higher ratings on brand awareness and brand image to a U.S. brand, while they give lower ratings on brand awareness and brand image to a local brand.

Brand-Specific Impressions

Hypothesis 2 relates to the effects of brand type and ATAP on brand-specific impressions (i.e., perceived quality and emotional value). Consumers view and develop perceptions toward different brands based on several attributes (Erdem et al., 2004). For example, Indian consumers may generalize their attitudes and opinions on a country's brands on the basis of familiarity, brand characteristics (e.g., perceived

quality, design status, and emotional value), and past experience with that country (Iyer & Kalita, 1997; Kinra, 2006).

Cattin, Jolibert, and Lohnes (1982) reported that U.S. global products, compared to Japanese global products, appear to be more favorable and reliable to French consumers. The study also illustrated that global brands are perceived to be more expensive, and hence, offer better quality and performance. Similarly, Indian consumers perceive foreign brands as superior in quality compared to local brands (Batra et al., 2000; Maxwell, 2001). Apart from perceived quality offered by a brand, consumers' buying decision is also affected by emotional aspects related to its purchase. Bhat and Reddy (1998) illustrated that possession of foreign brands in developing countries represents status and wealth in the society and provides emotional benefits to consumers. Likewise, Indian consumers have a favorable rating for foreign brands due to prestige and status associated with them (Kinra, 2006). Thus,

H2A: Indian consumers will give higher ratings on perceived quality and emotional value to a U.S. brand than to a local brand.

Consumers in developing countries have positive attitudes toward western products and these favorable attitudes provide significantly higher perceived quality and emotional value for those brands compared to local brands (Good & Huddleston, 1995; Verlegh & Steenkamp, 1999). More specifically, these favorable attitudes toward western products provide a sense of differentiation, superiority, and pleasure on consumption (Yoo et al., 2000). Specifically, Bhat and Reddy (1998) linked favorable attitudes toward American products in developing countries to high quality of the products as well as enhanced emotions, status, and prestige. Jaffe and Martinez (1995) also reported that Mexican consumers with positive attitudes toward American products perceive those products with high quality and prestige compared to their local products. In a similar vein, Haim (1987) discussed that Indian consumers possess positive attitudes toward American products because they reflect modernity and individuality. This may positively influence their perceptions toward U.S. brands but negatively influence their perceptions toward local brands. Thus,

H2B: Indian consumers with favorable ATAP, compared to those with unfavorable ATAP, will give higher ratings on perceived quality and emotional value to a U.S. brand, while they give lower ratings on perceived quality and emotional value to a local brand.

Brand Commitment

Hypothesis 3 relates to the effects of brand type and ATAP on brand commitment (i.e., brand loyalty and purchase intentions of the brand). It has been argued that loyalty toward a brand depends on its perceived quality, brand name, and country of origin (Malai & Speece, 2005). Bos (1994) illustrated that consumers in developing countries display higher levels of brand loyalty toward foreign brands as they offer high quality, which decreases their purchase intentions toward local brands. Thus,

H3A: Indian consumers will give higher ratings on brand loyalty and purchase intentions to a U.S. brand than to a local brand.

Consumers may be more inclined to purchase and be loyal toward a product due to their positive attitudes toward the product (Petty & Krosnick, 1995; Yasin, Noor, & Mohamad, 2007). Likewise, the image that consumers have about a certain country will influence their attitudes toward products from that country (Bilkey & Nes, 1982). For instance, Cattin et al. (1982) mentioned that consumers in France are more loyal toward U.S. products compared to Japanese products due to favorable attitudes toward American products. Also, Johansson (1989) explored that consumers' evaluation of a foreign brand, through its country's stereotype image, directly affects consumers' loyalty and purchase intentions. Zhang (1996) specifically pointed out that consumers in developing countries who have positive attitudes toward foreign products are attracted more toward those products and become

loyal compared to local products. Evidently, Indian consumers with positive attitudes toward American products will show a higher level of brand loyalty and purchase intentions for a U.S. brand; an inverse relationship exists for a local brand. Thus,

H3B: Indian consumers with favorable ATAP, compared with those with unfavorable ATAP, will give higher ratings on brand loyalty and purchase intention to a U.S. brand, while they will give lower ratings on brand loyalty and purchase intention to a local brand.

METHODS

Sample

The sample consisted of 411 students attending a major university in Mumbai, India. The respondents answered the self-administrated questionnaire in a classroom setting. Of 405 usable surveys, 36% of the samples were from women. The age for the respondents ranged from 19 to 30 years with a median age of 22 years.

Brand Selection

Two types of brands (i.e., a U.S. brand and a local brand in India) were chosen for this study. For the U.S. apparel brand, Levi's was selected because it represents a global brand and prevalence among both male and female middle-class Indian consumers. Further, Levi's is a brand that has matured in the U.S. market and is in a position to expand to other markets. However, most of the local brands in India belong to an unorganized retail sector with no dominant single local apparel brand. Thus, respondents were asked to refer to "the most popular casual local brand" for the local brand in India.

Measures

The questionnaire was designed to measure ATAP and the components of brand analysis consisting of general brand impressions (i.e., brand image and brand awareness), brand-specified associations (i.e., emotional value and perceived quality), and brand commitment (i.e., brand loyalty and purchase intention) for a U.S. brand (Levi's) and a local brand. Each item was measured on a 6-point Likert-type scale anchored by "strongly disagree" (1) and "strongly agree" (6).

Emotional value was measured with five items adapted from Sweeney and Soutar (2001); *perceived quality,* from Dodds, Monroe, and Grewal (1991); *brand awareness, brand image,* and *brand loyalty,* from Yoo, Donthu, and Lee (2000); and *attitude toward American products,* from Shimp and Sharma (1987). *Purchase intention* items were developed by the researchers. Table 1 provides the summary description and Cronbach's alpha values for the variables in this study.

Analyses

This study examines whether brand type (local and U.S. brand) and ATAP (favorable and unfavorable) have effects on Indian consumers' responses to the three components of brand analysis: (1) general brand impressions, (2) brand-specific associations, and (3) brand commitment. The repeated measure analysis of variance was used to test the three hypotheses, examining both within-subjects effect (brand type) and between-subjects effect (ATAP). This method of analysis is appropriate when the behavior or judgments of the same individuals over a variety of conditions are of interest to the researcher (Huck, Cornier, & Bounds, 1974). The respondents were split into two groups based on ATAP; a value below 3 was considered as "unfavorable" ATAP, while a value equal to 3 or greater was considered as "favorable" ATAP. Testing hypotheses entails examining the main effect (brand type) and interaction effect (brand type $\times$ ATAP) on brand analysis variables. The significance of the result was confirmed at $p < .05$.

HYPOTHESIS TESTING RESULTS

The brand analysis variables were compared between the U.S. and local brands and between high and low ATAP. Table 2 illustrates the means and standard deviations of brand analysis variables by brand type and ATAP. The interaction effects are reported in Figures 2 through 7.

TABLE 1. Scale Items

Constructs		Items	Reliability
General brand impression	Brand awareness	I can recognize this brand among competing brands.	0.67 (0.70)
		I am aware of this brand.	
		I can quickly recall the symbol or logo of this brand.	
	Brand image	Has a good reputation.	0.72 (0.59)
		Is a prestigious brand.	
Brand-specific association	Emotional value	Is one that I enjoy.	0.91 (0.88)
		Makes me feel good.	
		Gives me pleasure.	
		Makes me want to use it.	
		I feel comfortable using it.	
	Perceived quality	Is reliable.	0.80 (0.69)
		Is durable.	
		Is of high quality	
Brand commitment	Brand loyalty	I am loyal to this brand.	0.74 (0.69)
		This brand is my first choice among competing brands.	
	Purchase intention	I intend to buy this brand frequently.	0.78 (0.71)
		I plan to buy this brand more often.	
Attitude toward		Given a choice, I buy American-made rather than domestic products.	0.82
American products		I prefer American products over domestic products.	
		American products are of higher quality than domestic products.	

Note. Values in parentheses indicate local brands.

General Brand Impressions

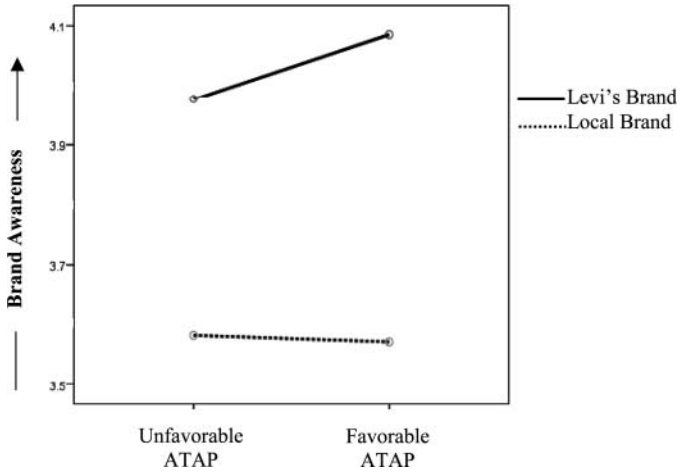
A significant effect of the brand type existed on brand awareness, indicating that Indian consumers have greater brand awareness for Levi's than for a local brand. Also, a significant effect of the brand type existed on brand image, indicating that Indian consumers' perception of Levi's brand image is higher than that of the local brand (Table 3). This supports H1A. However, interaction between brand type and ATAP was not found to be significant for brand awareness (Figure 2). This signifies that Indian consumers' awareness of Levi's brand versus the local brand was independent of their attitudes toward American products. In terms of brand image, the

TABLE 2. Brand Analyses by Brand Type and ATAP

	United States		Local	
Constructs	Favorable ATAP	Unfavorable ATAP	Favorable ATAP	Unfavorable ATAP
General brand impressions				
Brand awareness	4.08 (0.67)	4.10 (0.61)	3.60 (0.66)	3.58 (0.64)
Brand image	4.84 (0.89)	4.74 (0.96)	3.44 (0.91)	3.66 (0.79)
Brand-specific associations				
Emotional value	4.41 (1.02)	4.28 (1.04)	3.60 (0.88)	4.03 (0.83)
Perceived quality	4.68 (0.93)	4.63 (0.88)	3.70 (0.84)	4.01 (0.72)
Brand commitment				
Brand loyalty	3.30 (1.01)	2.97 (1.04)	3.01 (0.95)	2.95 (1.05)
Purchase intention	3.71 (1.12)	3.39 (1.08)	3.28 (0.93)	3.30 (0.99)

Note. Values outside parentheses indicate mean values. Values inside parentheses indicate standard deviations. *N* (for Unfavorable ATAP for U.S. and Local brand) = 161. *N* (for Favorable ATAP for U.S. and Local brand) = 250.

FIGURE 2. Effect of Brand Type and ATAP on Brand Awareness



interaction effect between brand type and ATAP was found to be significant, thereby partially supporting H1B (Figure 3). This implies that Indian consumers with favorable ATAP have higher brand image from Levi's brand, whereas Indian consumers with favorable ATAP have lower brand image from the local brand.

Brand-Specific Associations

Significant results were found for the main effect of brand type on emotional value and perceived quality (Table 3). The results indicate that Indian consumers consider U.S. brands to offer higher emotional value and quality compared to the local brand, supporting H2A. The significant interaction effects indicate Indian consumers with favorable ATAP rated emotional value and perceived quality of Levi's higher than those with unfavorable ATAP (Figures 4 and 5). The inverse relationship existed for the local brand, that is, consumers with favorable ATAP had lower ratings on perceived value and emotional value for the local brand. These findings support H2B.

Brand Commitment

The hypotheses on brand commitment were significant: effects of brand type and interaction effects of brand type and ATAP on brand loyalty and purchase intention. Indian consumers had higher means of brand loyalty and purchase intention toward Levi's brand than toward a local brand, supporting H3A (Table 3). The combined effects of brand type and ATAP indicate that Indian consumers with favorable ATAP, compared to those with unfavorable ATAP, gave

TABLE 3. Effect of Brand Type on Brand Analysis Variables

Constructs	Mean	*F*	*p*-value
General brand impressions			
Brand awareness	Levi's (4.03) > Local (3.57)	118.6	.000
Brand image	Levi's (4.79) > Local (3.55)	422.935	.000
Brand-specific associations			
Emotional value	Levi's (4.33) > Local (3.81)	56.70	.000
Perceived quality	Levi's (4.60) > Local (3.84)	213.51	.000
Brand commitment			
Brand loyalty	Levi's (3.13) > Local (2.96)	5.988	.015
Purchase intention	Levi's (3.54) > Local (3.29)	12.374	.000

FIGURE 3. Effect of Brand Type and ATAP on Brand Image

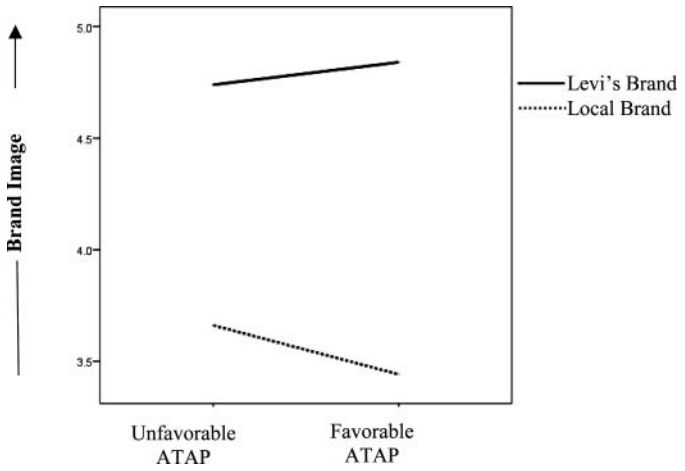


FIGURE 4. Effect of Brand Type and ATAP on Emotional Value

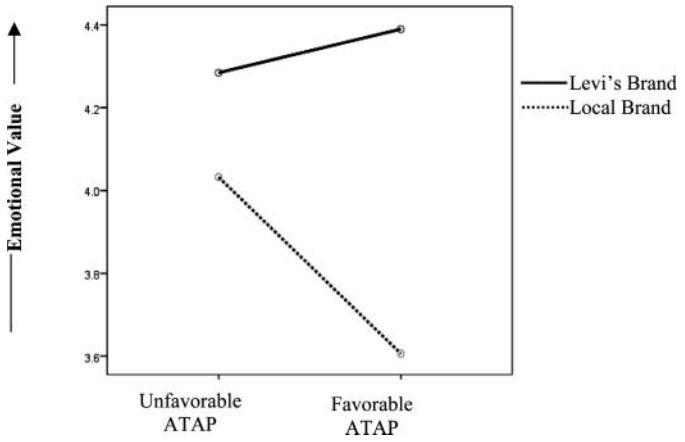


FIGURE 5. Effect of Brand Type and ATAP on Perceived Quality

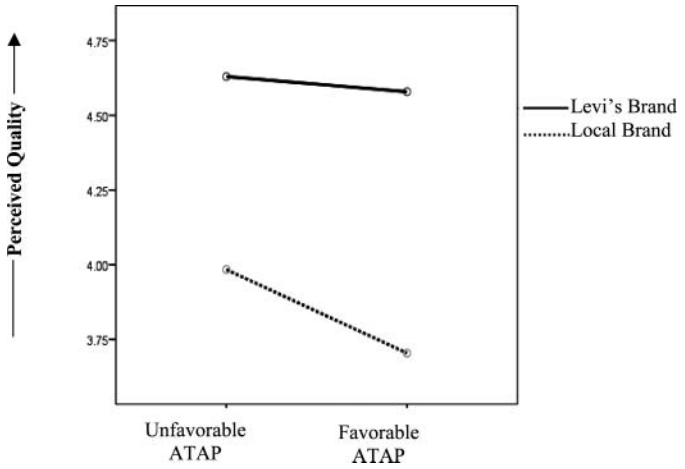
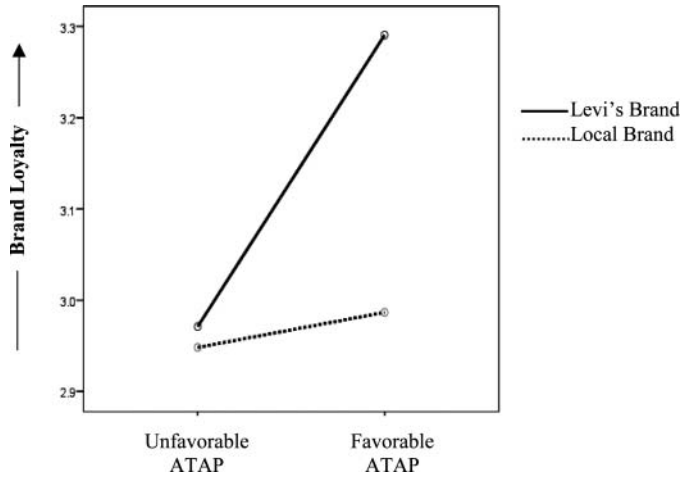


FIGURE 6. Effect of Brand Type and ATAP on Brand Loyalty

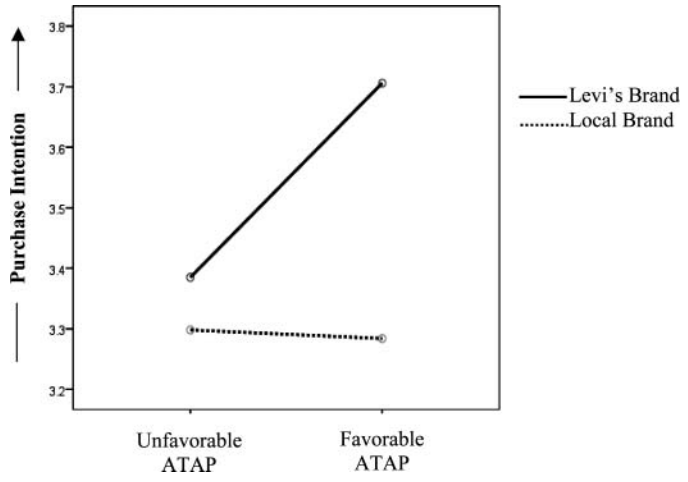


higher ratings on brand loyalty and purchase intention to Levi's, while they gave lower ratings for a local brand (Figures 6 and 7). This supports H3B.

CONCLUSIONS AND IMPLICATIONS

The increasing expansion into international markets and the accelerated trends toward globalization have forced researchers and marketers to examine how consumers evaluate foreign brands in comparison to local brands and how this evaluation affects their brand choices. While most of the internationalization efforts have concentrated on the economic and industry conditions that influence investment and business decisions in India, little research has focused on Indian consumers. With several global and local brands competing in India's competitive retail market, the success of marketing strategies for both global and local retailers can result primarily from consumer perceptions of these brands available in India. The challenge for global retailers is to understand how to compete successfully against local retailers by offering brands that act as a symbol of modernity and good life to Indian consumers (Ger & Belk, 1996). To this

FIGURE 7. Effect of Brand Type and ATAP on Purchase Intention



end, this study tried to find perceptions of U.S. products in the minds of Indian consumers and how such perceptions influence their attitudes toward U.S. global and local brands and purchase decisions.

Prior research on globalization and branding has examined consumers' evaluation and purchase intention of foreign products, mainly focusing on quality factors (Aaker, 1991; Bandyopadhyay, 2001; Batra et al., 2000; Cattin et al., 1982; Craig & Douglas, 1996; Gaedeke, 1973). However, this study aimed to discover the effect of brand type and ATAP on Indian consumers' responses to the three brand analysis components: general brand impressions (brand awareness, brand image), brand-specific associations (perceived quality, emotional value), and brand commitment (brand loyalty, purchase intention).

The findings demonstrate that Indian consumers do perceive U.S. global and local brands differently based on the components of brand analysis. It is evident that Indian consumers lack faith in the quality of local brands and hence are more loyal toward global brands, which supports the findings of several researchers (Batra et al., 2000; Iyer & Kalita, 1997; Kinra, 2006; Shashidhar, 2004). Specifically, Indian consumers' brand awareness exceeded for a U.S. brand (Levi's) compared to a local brand, indicating their higher level of recognition, involvement, and association with the U.S. brand. This higher level of brand awareness among Indian consumers can influence their selection or choice of brand during purchase process, and hence benefit global retailers by increased sales.

In line with previous findings (Bhat & Reddy, 1998; Good & Huddleston, 1995; Verlegh & Steenkamp, 1999), global retailers can derive competitive advantages through emotional value and perceived quality of U.S. global brands. These attributes can be introduced and reinforced through marketing campaigns emphasizing gaining social approval and self-esteem on consumption of global brands. This tactic can be most effective with apparel brands because most of the middle- and upper middle–class consumers in India are strongly influenced by foreign celebrities and entertainers on TV channels, movies, and other shows regarding what to wear (A.T. Kearney, 2006). However, many consumers in developing countries associate global brands with a higher price due to a perception of better quality, even if those brands are manufactured locally (Eckhardt, 2005). This perception of higher prices can be justified by providing brand globalness and superiority.

Based on the results in this study, it is worth noting that in addition to targeting Indian consumers with high global brand awareness and favorable ATAP, U.S. retailers can reach Indian consumers with unfavorable ATAP who also show low levels of purchase intention and brand loyalty toward foreign brands. Marketers can achieve this through advertising campaigns that emphasize quality, prestige, self-image, and social status associated with consumption of global brands as well as functional and performance-related aspects. This way, global retailers can have a strong and favorable influence on Indian consumers with unfavorable ATAP through enhanced brand awareness and image, which ultimately leads to increased brand commitment.

This study also provides significant implications to Indian retailers. Examining the evaluation of local brands by Indian consumers in this study, it is clear that local retailers must quickly understand the significance of intangible benefits of building and managing brand equity. As evident from the study, Indian consumers have lower impression toward local brands than U.S. brands. Lack of sustained marketing efforts by local retailers in an unorganized Indian market has resulted in almost negligible awareness about already existing local brands. To handle the issue on lower awareness for local brands, local retailers need to develop strategies to stimulate Indian consumers to try their brands through improved advertising (Deighton, 1994; Hoch & Ha, 1986).

The result of lower ratings on a local brand's brand-specific association demonstrates that local retailers need to boost consumer confidence by offering quality products equivalent to those of global brands but with lower prices because Indian consumers are price sensitive. Also, emotional values can be emphasized by local retailers in creating and maintaining a brand relationship with the target consumer market in India. This entails local retailers' understanding the symbolic values desired by Indian consumers. They

can highlight intangible benefits such as authentic local products and sense of belongingness associated with their brands to attract Indian consumers. They also can brand themselves by promoting their cultural values and norms through their marketing techniques. Taking advantage of the fact that the current level of market development in India is still premature to expect an explosive growth in sales of global brands, it is possible for local retailers to capture a sizable retail market through these marketing strategies (A.T. Kearney, 2006).

Several limitations should be noted for further research. This study did not take into considerations factors that moderate the influence of brand type and ATAP on the outcome variables. Thus, future research could expand the present model by incorporating moderating factors such as culture and consumer demographics, which may have significant influence on consumers' perceptions. This study investigated analysis of a single apparel brand each in the United States and India. Replication of the study with different brands and product categories from the United Kingdom, Japan, Germany, and other countries would be beneficial in understanding the extent of the model's usefulness. Because the respondents of the study represented relatively less diverse demographic characteristics due to convenient sampling from a university in Mumbai, India, it limits the generalizability of the findings. Further research on brand analysis should focus on nonstudent segment of consumers with a larger sample size. With these suggestions for further research, this study paves the way to enhance research on Indian consumers' perceptions and behavior toward global brands.

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